‘We have simplified the rules’

CM MOHAN YADAV *is bullish on turning MP into an industrial powerhouse. He talks to* **RAHUL NORONHA** *on the way forward. Excerpts:*



MUJEEB FARUQUI

Q. Investor summits have been done in the past too. How is this edition different?
Well, this time I have ensured that policies are investor-friendly and that rules are simplified. In the past, 28 permissions were needed to start a business in MP, we’ve brought them down to 10.

Q. As a precursor to the GIS, regional summits were held across MP. How did that help?
It created a positive environment for MP in the country and outside it too, and also kept up the momentum among various wings of government. The message is clear—this is not just a one-off event. I myself have dedicated 38 days for industries since I took over this job. That’s a lot of time for a CM.

Q. Foreign Direct Investment (FDI) has largely eluded MP...
We are trying to address the foreign investment issue. There are advantages that we have introduced, policies with inherent benefits. All this will lead to record inflows.

Q. You have introduced prohibition in some places in MP. Won’t that impact investment in the state?
There were already a number of restrictions in place but we are trying to rationalise them. Like in Ujjain, alcohol was banned in a 1 km radius around the temple. So it has been proposed to include the city’s municipal areas also, but outside it you can still buy alcohol. There is a practical side to implementing a law.

Q. Industry feedback says red-tapism has slowed down the pace of investment. Do you agree?
Being tough on the bureaucracy or on business will not get us investment, all of us have to work together. But it’s true, the bureaucracy has to get off its high horse. The state’s welfare is our common goal.

> **“Earlier, 28 permits were needed to start a business in MP, we’ve brought them down to 10”**

Q. Give us three reasons why someone should invest in MP?
Why three, I can list 30. We have surplus power, no labour issues, an adequate land bank, connectivity and investor-friendly policies.... We also do a follow-up on investment proposals, which is key to securing them.

polymers and renewable energy units with a Rs 250 crore investment will be designated as the ‘sunrise sectors’, making them also eligible for benefits. To address the issue of low FDI in MP (the state is not even among the top 10 states), the policy introduces a 1.2 multiple to the BIPA payable to such units.
To overcome the disadvantage of being landlocked and the lack of access to ports, the state government is offering up to a maximum of Rs 2 crore to a unit per annum to cover the cost of transport of finished goods to the harbour.

So why wasn’t MP able to do all this earlier? “Well, we need to create an environment for transparency and delivery. Ease of doing business is critical to our plan to bring in investments. We are making the bureaucracy accountable for decision-making by introducing all industry-related work under the Public Services Guarantee Act,” says Chandramauli Shukla, MD, MP State Industrial Development Corporation.

Meanwhile, industry stakeholders agree it’s a step in the right direction but also add a caveat. “The industry does not care as much about benefits from the government as it does about timely decision-making. Stalling of decisions can be fatal for industry,” says Dinesh Patidar, MD, Shakti Pumps and chairman, MP-CII. The state government has convinced industry body CII to hold its national council meeting in Bhopal on February 23, ensuring that top CEOs are in town a day before the GIS. But it is the post-summit follow-up that will ensure if MP can do something out of character to emerge as an industrial powerhouse. ■